IndiaKart Business Performance Review: Management Summary

To: The CEO, IndiaKart | From: Fridolin Yafni P | 18 October 2026 | Period reviewed: 24 June 2023 to 23 June 2025

Executive summary

Between 24 June 2023 and 23 June 2025, IndiaKart took 50,000 orders worth ₹314.7 crore, and about two thirds of that value (₹205.4 crore) came from orders that were delivered. The business is steady but not growing: total order value stayed between ₹11.4 and ₹13.8 crore in every full month, and October and November, the Diwali months, were no stronger than any other month. Sales lean heavily on a narrow base, because Electronics brings in 57.7% of delivered revenue and Uttar Pradesh and Maharashtra together place 35.4% of all orders. One order in five (19.9%) is cancelled or returned, and four of the six business targets we can measure are being missed: cancellations, failed payments, stock availability and the extra spending of Premium customers. Most of these problems look fixable by operations, because failed payments coincide with about 29% of cancellations and 56% of returns cite a product or delivery problem. Overall, IndiaKart is a healthy business in size but is losing revenue it could recover, and the recommendations below set out how to win it back.

Key numbers at a glance

Measure	Result	Target	Status
Total order value (all orders placed)	₹314.7 crore	none set	n/a
Revenue from delivered orders	₹205.4 crore (65% of the total)	none set	n/a
Average delivered order	₹63,198	none set	n/a
Orders cancelled	12.0%	below 10%	Missed

Measure	Result	Target	Status
Payments that failed	3.5%	below 2%	Missed
Products in stock	92.2%	above 95%	Missed
Premium customer spend compared with Regular	1.5 times (₹5.3 lakh against ₹3.6 lakh)	3 times	Missed
Orders marked as returned	7.9%	below 8%	Just met (see Risks)
Share of revenue from Electronics	57.7%	below 60%	Within limit, but close

Total order value counts every order placed, including cancelled ones.

Top 3 findings

1. Sales are steady, not growing

Total order value rose only 5.4% in 22 months, from ₹12.9 crore in July 2023 to ₹13.6 crore in May 2025, and the average change from one month to the next is about half a percent. The number of new customers is also flat, at about 170 a month. The Diwali months did not lift sales, so there is no festive boost in the data at present.

2. Sales depend on one product category and two states

Electronics earns 57.7% of delivered revenue and Sports & Fitness adds 17.1%, so two categories bring in about three quarters (74.8%) of revenue. All ten best-selling products are Electronics. Uttar Pradesh and Maharashtra place 35.4% of all orders, and the ten largest states (out of 18) place 82.5%. A problem in Electronics or in those two states would hit overall sales hard.

3. One order in five does not complete, and much of this looks avoidable

About 12.0% of orders are cancelled (5,996 orders, worth ₹36.8 crore) and 7.9% end as returned (3,933 orders). The 1,748 failed payments coincide with about 29% of all cancellations. Among returns, five reasons point to a product or delivery problem

(damaged in transit, wrong product delivered, defective product, not as described, quality issue), and together they account for 56% of returns. Both areas are ones the business can influence.

Risks identified

- **Cancellations are above target.** 12.0% of orders are cancelled against a target of below 10%, which is ₹36.8 crore of order value that never turned into delivered sales.
- **Failed payments are above target.** 3.5% of payments fail against a target of below 2%, and the rate is about 3% to 4% for every payment method, so the cause looks like a general checkout or payment problem and not one method.
- **Stock availability is below target.** 92.2% of products are in stock against a target of above 95%. 78 products are low or out of stock, and two (both Automotive) are completely sold out.
- **Too much depends on Electronics.** Its 57.7% share is just under the 60% level that we treat as a warning sign.
- **Premium customers are less valuable than hoped.** Over their lifetime they spend 1.5 times as much as Regular customers against a goal of 3 times. They order more often (7.6 orders each against 5.0 for Regular) but not in larger amounts.
- **Return figures cannot be fully trusted yet.** 7.9% of orders are marked as returned, just under the 8% target. However, the returns log holds 10,000 entries and 6,067 of them are attached to orders that are not marked as returned, including cancelled orders and orders not yet delivered. The real return rate is unclear until the records are corrected.

Opportunities

- **Win back lost orders.** Bringing cancellations down to 10% would save about 1,000 orders, which is roughly ₹6 crore of order value at the average cancelled order size.
- **Make use of the festive season.** Because October and November show no lift, a planned festive campaign has room to add sales on top of a flat base.
- **Grow beyond the core.** The next two categories, Sports & Fitness (17.1%) and Home & Kitchen (8.5%), and the eight smaller states (only 17.5% of orders between them) offer room to grow.
- **Raise what Premium customers spend per order.** They already buy often but spend about the same per order as everyone else, so bundles and add-ons could help close the gap to the 3 times goal.

- **Release money tied up in unsellable stock.** 79 products that are no longer listed still hold ₹18.95 crore of stock, which is 9.0% of the total stock value.

Recommendations

1. **Fix failed payments and cancellations first.** Review the checkout and payment partners with the payments team, aim for below 2% failed payments, and track whether cancellations then fall below 10%. Both rates are on the dashboard and should be reviewed every month.
2. **Reduce avoidable returns.** Concentrate on the five product and delivery reasons that make up 56% of returns: stronger packaging for damaged-in-transit parcels, packing checks so that wrong products do not leave the warehouse, a review of product photos and descriptions, and quality checks with suppliers. Size Issue is the single biggest reason (12.0% of returns), so add clear size guides.
3. **Restock the low products and keep availability above 95%.** Start with the two sold-out Automotive products, then work through the 78-product restock list on the Inventory Alert page of the dashboard, giving priority to the Hyderabad (18 alerts) and Bengaluru (17 alerts) warehouses. Review the list every week.
4. **Clear the stock of products that are no longer listed.** Agree a plan to sell it off at a discount or send it back to suppliers, and stop reordering these products.
5. **Plan growth outside the current core.** Run a planned campaign for the Diwali months, and test promotions in Sports & Fitness, Home & Kitchen and the states ranked third to tenth for orders (Gujarat, Madhya Pradesh, Tamil Nadu, Karnataka, Rajasthan, West Bengal, Punjab and Jharkhand). Judge the result by the share of revenue from Electronics and from the top two states, and by orders in October and November.
6. **Improve record keeping.** Make sure every order has its product list, every return is linked to a delivered order, and every refund is recorded with its amount, so that return and refund figures can be trusted at the next review.

About the data

- The figures cover 24 June 2023 to 23 June 2025. The first and last months are partial, so month-to-month comparisons use full months only.
- Revenue means the value of delivered orders. Customer lifetime spend includes cancelled orders.

- 10,071 orders (20%) have no product details, so product and category figures cover the other 80%.
- For customers who joined during the period, half of their orders are dated before their joining date, so customer loyalty cannot be judged from this data.
- Every return is recorded as a refund of the full order, and the payment records show no refunds, so the cost of refunds cannot be measured.